

For example, imagine two startups that are working diligently to tune the sticky engine of growth. One has a compounding rate of growth of 5 percent, and the other 10 percent. Which company is the better bet? On the surface, it may seem that the larger rate of growth is better, but what if each company's innovation accounting dashboard looks like the following chart?

COMPOUNDING GROWTH RATE AS OF	COMPANY A	COMPANY B
Six months ago	0.1%	9.8%
Five months ago	0.5%	9.6%
Four months ago	2.0%	9.9%
Three months ago	3.2%	9.8%
Two months ago	4.5%	9.7%
One month ago	5.0%	10.0%

Even with no insight into these two companies' gross numbers, we can tell that company A is making real progress whereas company B is stuck in the mud. This is true even though company B is growing faster than company A right now.

WHEN ENGINES RUN OUT

Getting a startup's engine of growth up and running is hard enough, but the truth is that every engine of growth eventually runs out of gas. Every engine is tied to a given set of customers and their related habits, preferences, advertising channels, and interconnections. At some point, that set of customers will be exhausted. This may take a long time or a short time, depending on one's industry and timing.